Practice workbook · Monopoly: features, barriers to entry, pros and cons

Definition of monopoly; features (one dominant firm, unique product, price-maker); barriers to entry (patents, legal, marketing, technology, start-up costs); and effects on price, choice, quality, innovation and efficiency for consumers and the firm.

20 question parts: 1 worked-example retry and 19 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-13

1. Question 2 · part e · 2 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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1. Question 2 · part e · 2 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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1. Question 2 · part e · 2 marks

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Worked-example retry · Attempt part e only.

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(e) Describe **one** way that high start-up costs can be a barrier to entry.

(2)

UK supermarkets operate in an oligopoly where the market is dominated by several large firms.

(f) Explain **one** disadvantage of this type of market structure for UK consumers.

(3)

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1. Question 2 · part e · 2 marks · Working and answer

Working and answer

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the effects on the market for locally sourced goods of more customers preferring to buy from local firms. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

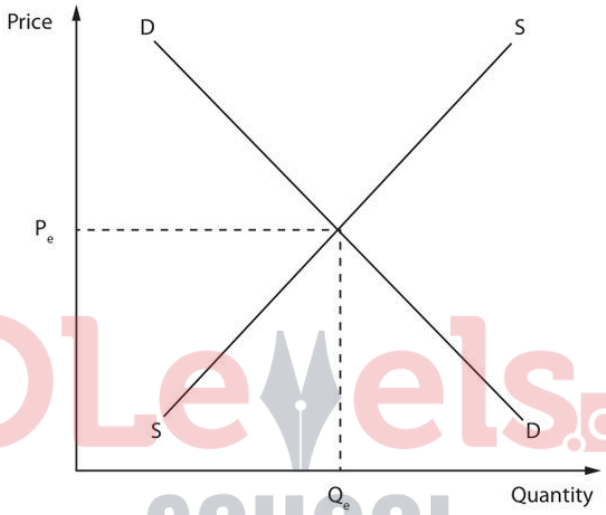


Figure 1

Robert is the only business specialising in handmade door signs in the local area.

(h) Explain **one** disadvantage for customers of Robert being the only local firm specialising in handmade door signs.

(3)

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Despite his success, Robert has decided to keep his business small and not expand.

(i) With reference to the data in **'Small but successful'** and your knowledge of economics, analyse why Robert might have decided not to expand his business.

(6)

(Total for Question 1 = 20 marks)

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2. Question 1 · part h · 3 marks · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 Figure 4 shows the quantity of a good supplied and demanded at different price levels.

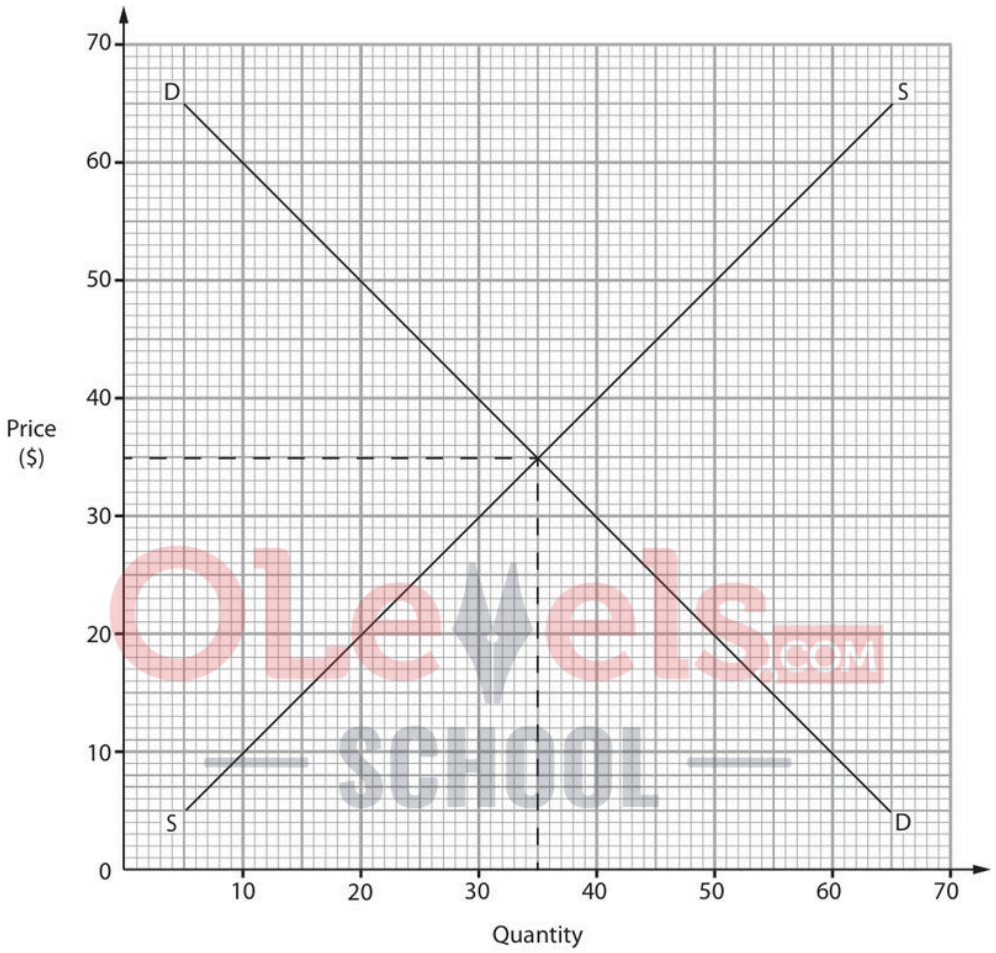


Figure 4

(a) Using the information in Figure 4, calculate the excess demand of goods in the market at a price of $20. You are advised to show your working.

(2)

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

NBC Universal pays $7.75bn for Olympics through to 2032

The International Olympic Committee (IOC) announced it had agreed a $7.75bn deal with the USA television network, NBC Universal. This will extend its broadcasting rights to the Olympic Games up until 2032. The deal gives NBC Universal total control over all media platforms in the USA, including television, internet and mobile. A spokesman for NBC Universal said they were confident they would get back the high cost through advertising.

(Source: adapted from https://eu.usatoday.com/story/sports/olympics/2014/05/07/nbc-olympics-broadcast-rights-2032/8805989/

(b) With reference to the data above and your knowledge of economics, analyse the benefits to NBC Universal of agreeing this deal with the IOC.

(6)

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Figure 5 shows the market share in South America of search engine providers, between October 2016 and October 2017.

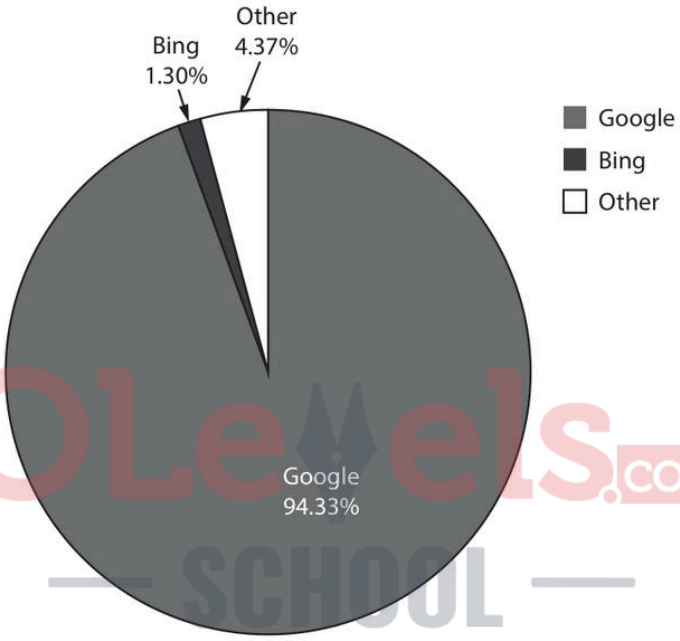


Figure 5

(Source: adapted from http://gs.statcounter.com/search-engine-host-market-share/all/south-america#monthly-201610-201710-bar)

Consumers do not pay to use search engines but firms pay to advertise on them. Google, because of the size of its market share, is considered to be a monopoly.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which firms can benefit from advertising on Google.

(12)

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3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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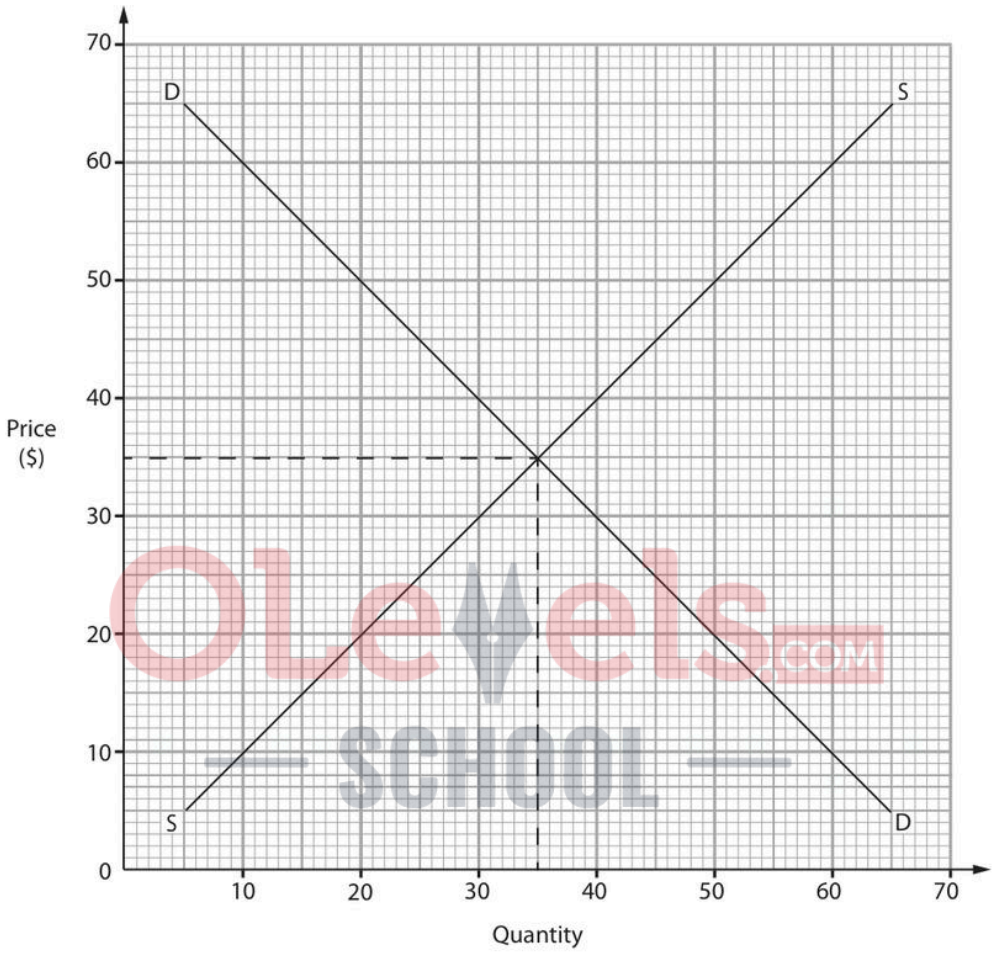


Figure 4

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(2)

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2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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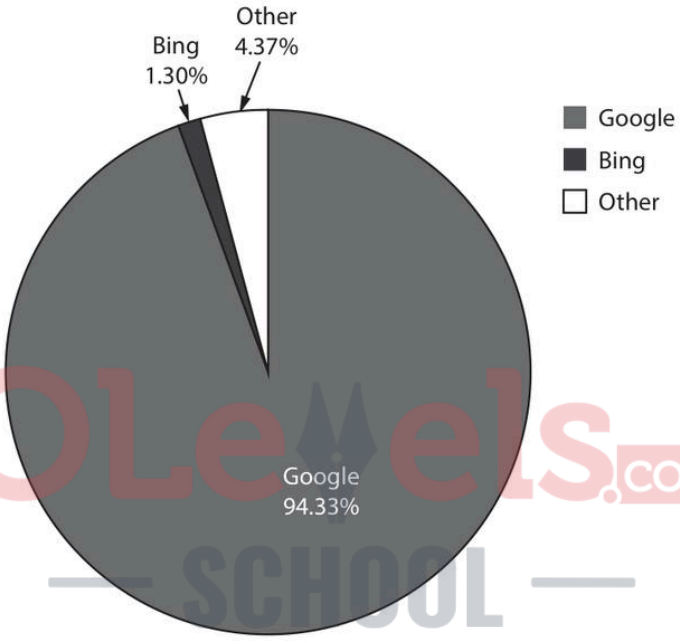


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4. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

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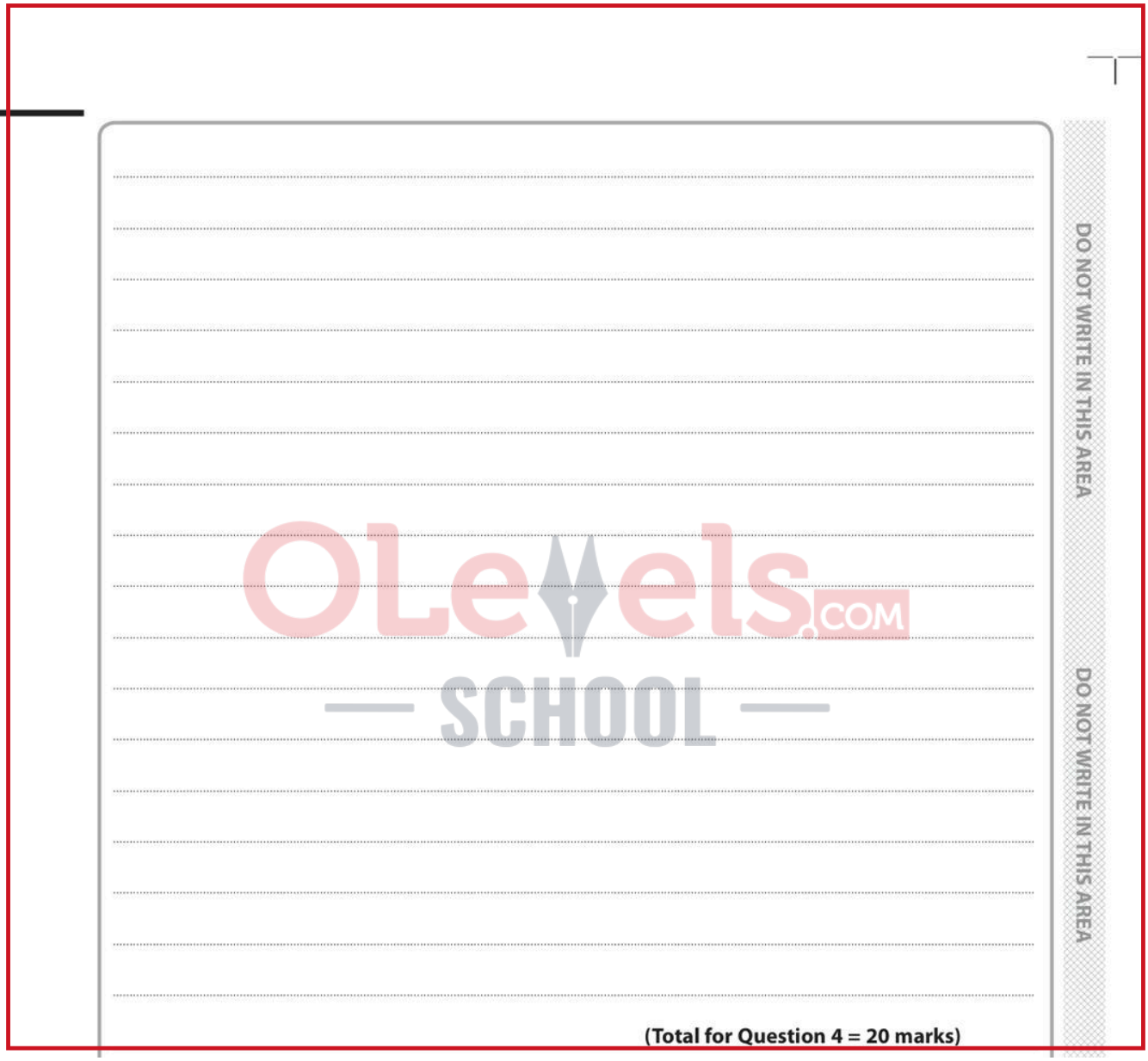
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4. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

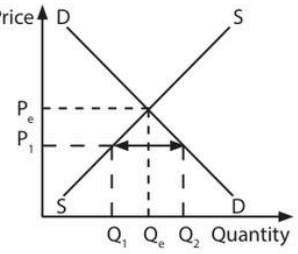
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Further practice · Attempt part b only.

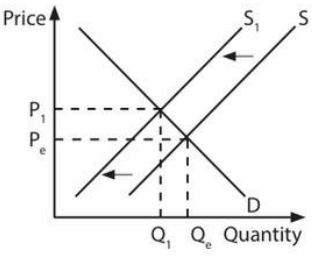
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

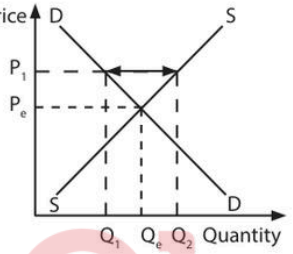
☒ **A**



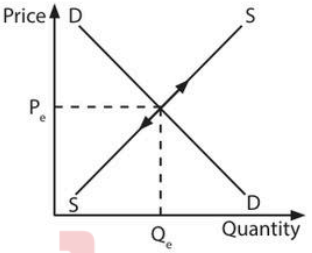
☒ **B**



☒ **C**



☒ **D**



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5. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part f · 2 marks

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Further practice · Attempt part f only.

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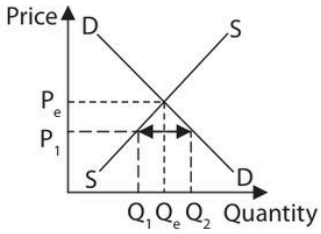
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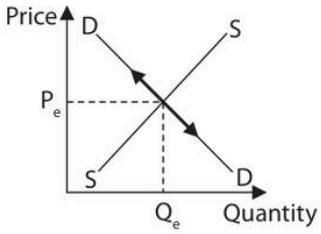
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(1)

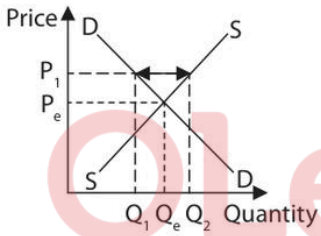
☒ **A**



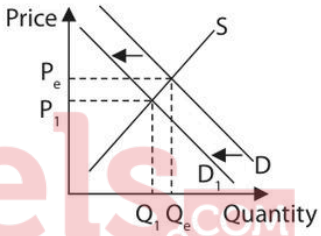
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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6. Question 2 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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6. Question 2 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

The Irish Artisan Charcoal Company (IACC) is the only firm producing charcoal in Ireland. Damaged trees which would otherwise have been left to rot are used to produce top quality charcoal.

(Source adapted from: https://www.limerickleader.ie/video/home/348948/watch-irish-artisan-charcoal-company-in-limerick-blazing-a-trail-with-unique-product.html)

(f) Describe the type of market structure in which the Irish Artisan Charcoal Company operates.

(2)

Street lighting is considered to be a public good.

(g) Explain **one** reason why this may cause a free rider problem.

(3)

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6. Question 2 · part f · 2 marks · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

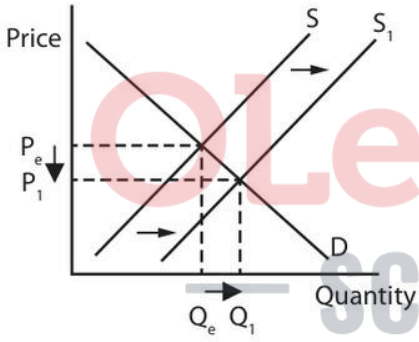
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

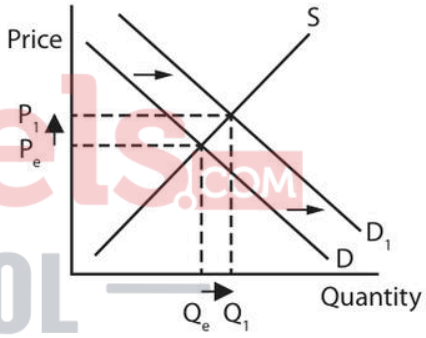
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

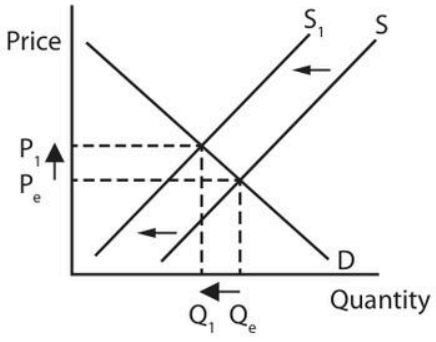
☒ **A**



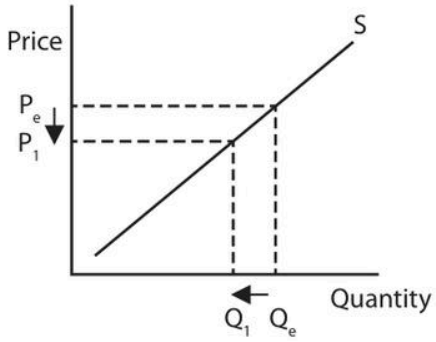
☒ **B**



☒ **C**



☒ **D**



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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

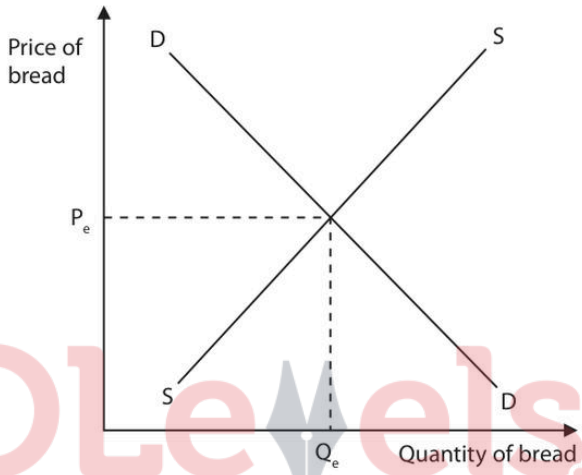


Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

Coffee is a popular drink in many countries around the world. Beans are picked by hand from coffee plants once the fruit is ready to harvest. It is then put through a process which includes sorting the type of bean and transforming it from its natural state. It can be sold as a bean, ground to make coffee or even as the instant product. Machines are used for most of the process but cannot identify which beans are ready to pick.

(i) With reference to the data above and your knowledge of economics, analyse why all four factors of production might be used to produce coffee.

(6)

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7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

2

Market share by firm for a market in Azerbaijan

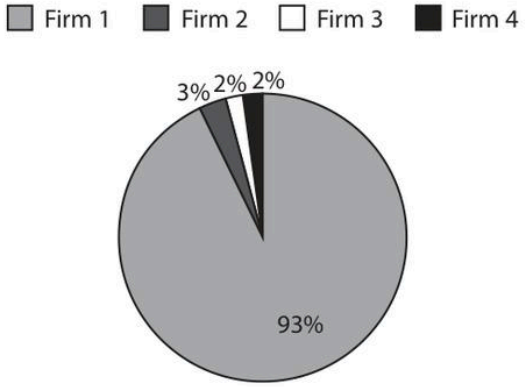


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 1 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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9. Question 1 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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9. Question 1 · part e · 1 mark · Working and answer

Working and answer

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10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	–1.5
☒ **B**	**X**	–1
☒ **C**	**Y**	–0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

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Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(f) Describe **one** benefit to consumers of privatisation.

(2)

Microsoft has a patent on a number of its technological designs.

(g) Explain **one** reason why Microsoft might have patents on its designs.

(3)

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10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

Fast food restaurants around the world use division of labour during the production of food and drinks. Employees are given different tasks. Burgers are fried before being placed in a bread 'bun'. Chopped lettuce and tomatoes are then added. Potatoes are also peeled and sliced in order to make fries.

(h) With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour.

(9)

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10. Question 2 · part g · 3 marks · Working and answer

Working and answer

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11. Question 2 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

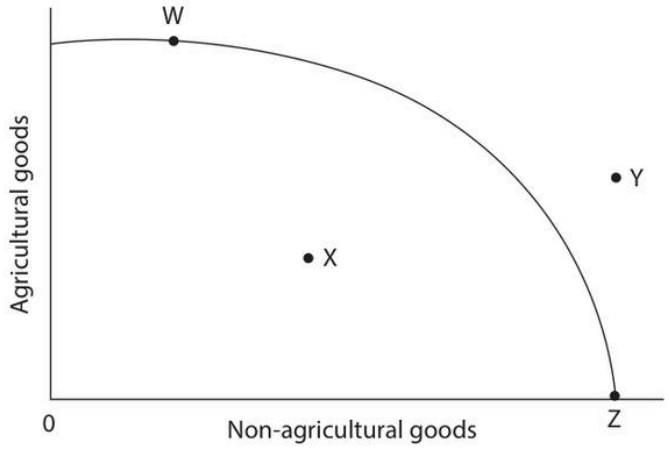


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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11. Question 2 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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11. Question 2 · part e · 1 mark · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

4 A restaurant in Cyprus can seat 136 diners each evening. The demand for seats from diners over three evenings is shown in Figure 5.

Evening	Quantity of seats demanded
Thursday	98
Friday	114
Saturday	107

Figure 5

(a) Calculate the **excess supply** of seats if the quantity supplied during these three evenings totalled 408. You are advised to show your working.

(2)

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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Street lighting is provided by governments in many countries. It is provided to improve safety for pedestrians and increase visibility for motorists. It also provides a more inviting environment after dark.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem means street lighting is provided by the government.

(6)

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

The English city of Kingston upon Hull has an independent telecoms network known as Kingston Communications (KCOM). It is the only provider serving the city and its surrounding towns and villages. People living there do not have many broadband options. The network remained independent when most others joined together to become British Telecom (BT) and it has remained as a separate company to this day.

As well as broadband, KCOM also offers home phone and mobile deals which are available at a discounted price when purchased together. It will soon offer high-quality television packages. Its broadband is fast, with fibre optic packages which can reach impressive speeds of up to 250 Mb. However, these are not available everywhere in the region and KCOM's packages are more expensive than those in the rest of the country. This is especially true as they have low download limits.

(Source adapted from: https://www.broadbandchoices.co.uk/guides/broadband/hull-broadband)

(c) With reference to the data above and your knowledge of economics, evaluate whether a monopoly such as KCOM is always bad for the consumer.

(12)

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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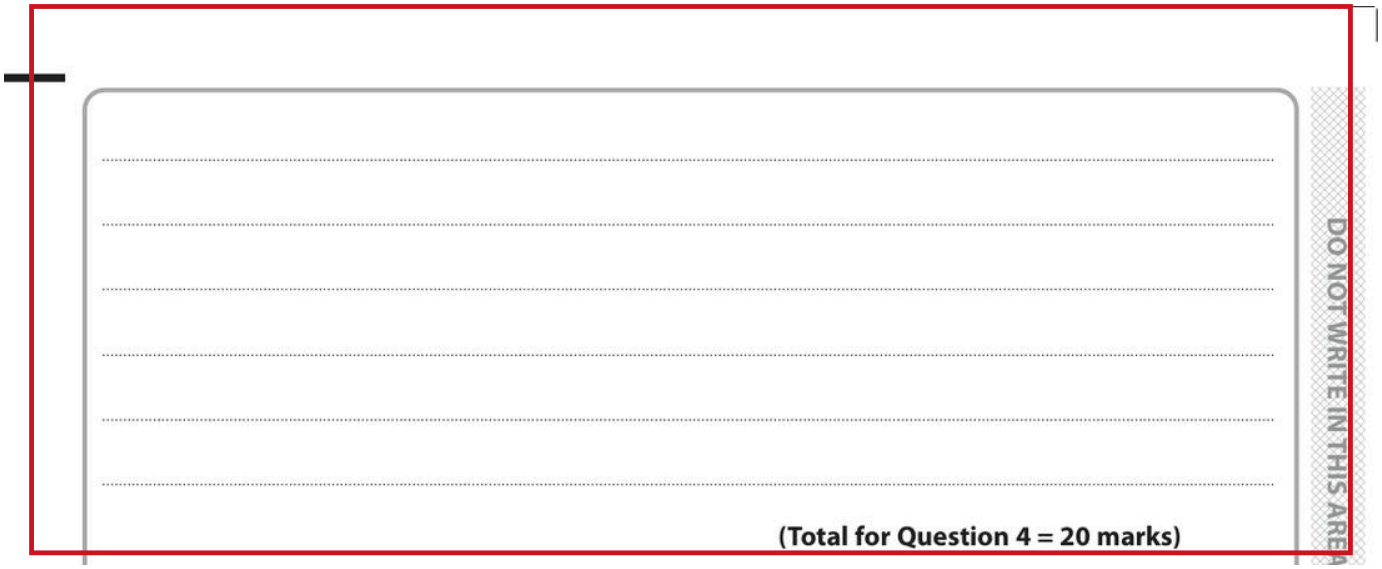
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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.



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12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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13. Question 1 · part e · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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13. Question 1 · part e · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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Turn over

13. Question 1 · part e · 1 mark · Working and answer

Working and answer

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14. Question 2 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

2

Chart to show market share held by firms within a market

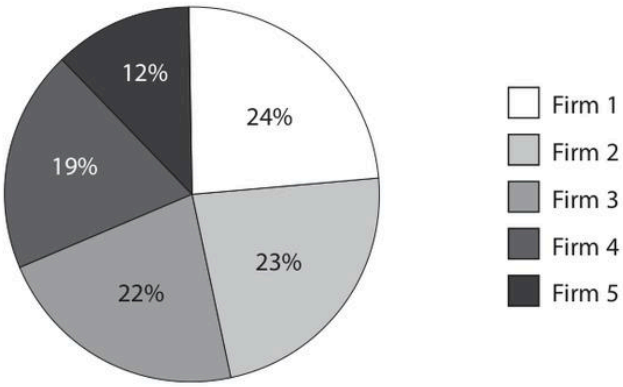


Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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14. Question 2 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit.
It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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P 7 1 5 5 5 A 0 8 2 4

14. Question 2 · part c · 2 marks · Working and answer

Working and answer

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

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(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

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There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

Rail travel in Poland is considered to be a monopoly. Polskie Koleje Państwowe (PKP) is the main firm that operates the trains and the rail network in Poland. Both passenger and freight trains run on PKP's network. It has over 18,510 km of track. Its main aims are to meet the transport needs of the state and the interests of its consumers.

(h) With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers.

(9)

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

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(Total for Question 2 = 20 marks)

15. Question 2 · part h · 9 marks · Working and answer

Working and answer

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16. Question 2 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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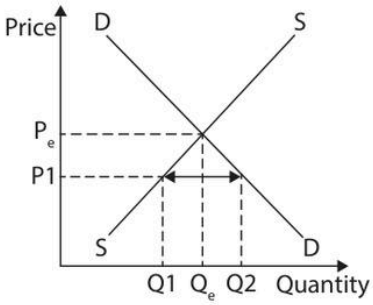
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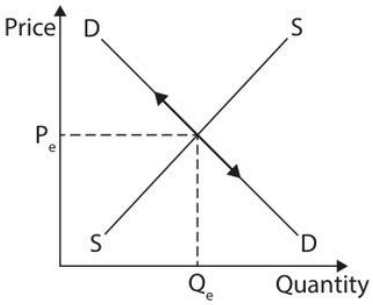
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

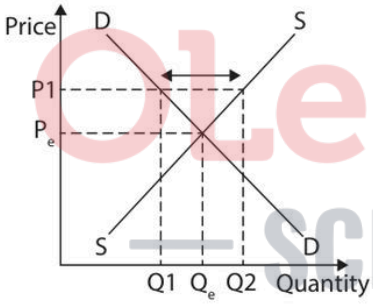
☒ **A**



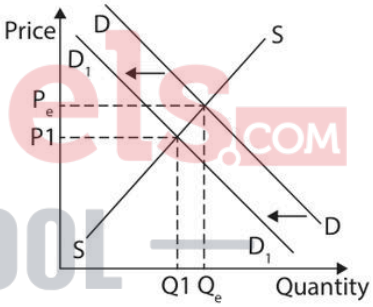
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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16. Question 2 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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16. Question 2 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Sajad owns a shop selling smartphones in Karachi, Pakistan. The shop has been successful for several years and there is an opportunity for Sajad to open an additional shop on the other side of the city.

(f) Explain **one** reason why Sajad may decide to expand his business.

(3)

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16. Question 2 · part e · 2 marks · Working and answer

Working and answer

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17. Question 2 · part b · 1 mark

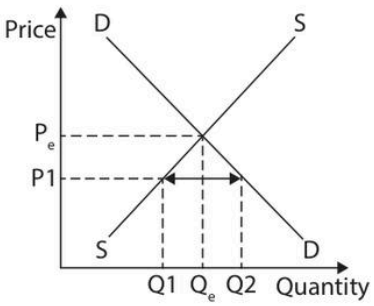
2024 JUN · Paper 01

Further practice · Attempt part b only.

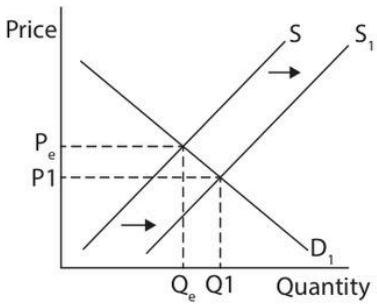
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

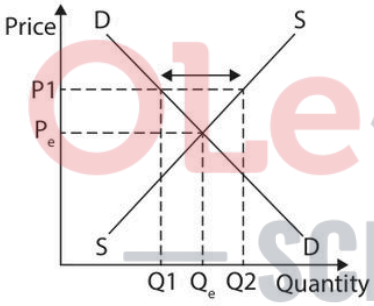
☒ **A**



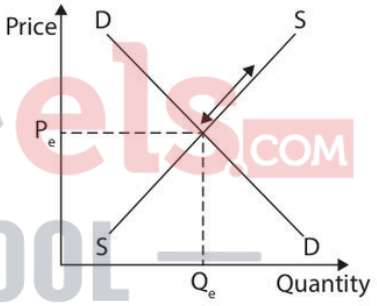
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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P 7 2 9 6 7 A 0 7 2 4

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Turn over ▶

17. Question 2 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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17. Question 2 · part b · 1 mark · Working and answer

Working and answer

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18. Question 2 · part e · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

2

Market share by sales of firms in a market in Kuwait

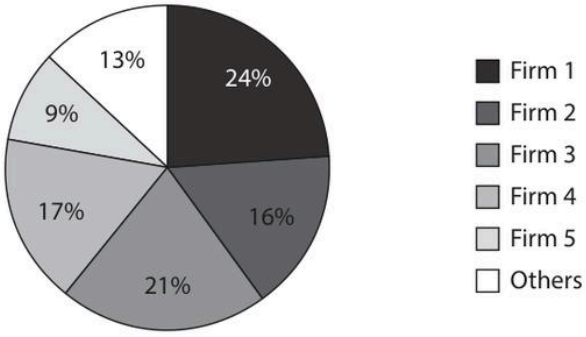


Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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18. Question 2 · part e · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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Figure 3 shows some of the production costs in the month of September for a firm manufacturing rugby souvenirs in France, in preparation for the 2025 Six Nations tournament.

Production costs	Euro (€)
Rent	7 000
Raw materials	3 000
Advertising	1 300
Labour (paid according to output)	18 000

Figure 3

(c) Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working.

(2)

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(d) What is meant by the term total revenue?

(2)

18. Question 2 · part e · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

(e) Describe **one** feature of a monopoly.

(2)

In 2023, the Italian Government introduced legislation to increase the number of taxis available to the public.

(f) Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market.

(3)

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18. Question 2 · part e · 2 marks · Working and answer

Working and answer

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19. Question 1 · part e · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

OLevels.COM SCHOOL

(c) What is meant by the term economies of scale?

(2)

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19. Question 1 · part e · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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P 7 2 1 3 3 A 0 3 2 4

3

Turn over ▶

19. Question 1 · part e · 1 mark · Working and answer

Working and answer

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20. Question 2 · part d · 2 marks

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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20. Question 2 · part d · 2 marks

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Further practice · Attempt part d only.

Figure 3 shows selected financial data of a firm producing calculators.

	$ per calculator
Selling price	$12.50
Raw materials	$3.25
Labour	$4.58

Figure 3

(c) Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working.

(2)

(d) What is meant by the term patent?

(2)

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20. Question 2 · part d · 2 marks

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(e) Describe **one** advantage to a firm of being privatised.

(2)

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Many cities in the US have increased the number of traffic-light cameras in order to catch motorists if they drive through a red (stop) light.

(f) Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light.

(3)

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20. Question 2 · part d · 2 marks · Working and answer

Working and answer

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